

Digitisation and Digitalisation

Converting analogue to digital, versus changing how work is done with digital means

GLOSSARY 01 - SHEET 4 / 8

PROFESSIONAL DEFINITION

Digitisation is the technical conversion of analogue information into a digital format, leaving the underlying process unchanged. Digitalisation is the use of digital technologies to change a business process, business model or the way value is created and captured. The terms are not synonymous and not interchangeable, and the distinction between them separates cost-reduction projects from transformation (Gartner, 2019; Verhoef et al., 2021).

WHO DEFINED IT ORIGINALLY

The distinction was formalised for management research by Verhoef, Broekhuizen, Bart, Bhattacharya, Qi Dong, Fabian and Haenlein (2021) in the Journal of Business Research, building on Tilson, Lyytinen and Sorensen's (2010) information-systems account of digital infrastructure and on Gartner's practitioner glossary, which had already separated the two terms for its client base.

WHY THIS DEFINITION WAS DEVELOPED

Firms were reporting digital transformation while describing scanning projects. Because both activities consume the same budget line and use the same vocabulary, boards could not tell whether they were funding a change of medium or a change of business. Naming the two stages made the sequence explicit and made it possible to ask which one a given initiative actually was.

FIGURE 1 - THREE PHASES, THREE RETURNS

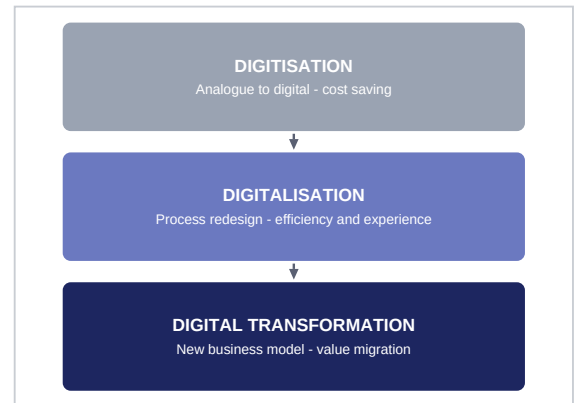


Figure 1. The three phases are sequential in capability but distinct in expected return. Attributing transformation-level benefits to a digitisation-level project is the most common source of overstated business cases (after Verhoef et al., 2021).

HOW IT IS USED

Classify each initiative as digitisation, digitalisation or transformation; expect digitisation to return cost savings only, and treat any claim of strategic return from a pure digitisation project as a category error.

WHEN IT IS USED

At portfolio review when benefits are being attributed, at business-case approval, and in post-implementation review when promised strategic benefits have not appeared.

BY WHOM IT IS USED

Programme managers classifying the initiative portfolio, finance business partners validating business cases, and transformation directors reporting benefits to the board.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

The predecessor practice was a single undifferentiated term, digital, applied to everything from document scanning to platform business models. Verhoef and colleagues' three-phase framing supplies an ordered vocabulary in which each phase has its own expected return, its own risk profile and its own governance requirement, so that misattributed benefits become visible at the point of approval rather than at post-implementation review.

RELATED DEFINITIONS IN THIS COURSE

[Digital Transformation - Unit 1](#)
[Business Model Innovation - Unit 1](#)
[Digital Maturity - Unit 1](#)
[AI Operating Model - Unit 3](#)

SOURCES (HARVARD REFERENCING STYLE)

Gartner (2019) Gartner Glossary: Digitization, Digitalization. Stamford, CT: Gartner, Inc.

Tilson, D., Lyytinen, K. and Sorensen, C. (2010) 'Digital infrastructures: the missing IS research agenda', Information Systems Research, 21(4), pp. 748-759.

Verhoef, P.C., Broekhuizen, T., Bart, Y., Bhattacharya, A., Qi Dong, J., Fabian, N. and Haenlein, M. (2021) 'Digital transformation: a multidisciplinary reflection and research agenda', Journal of Business Research, 122, pp. 889-901.